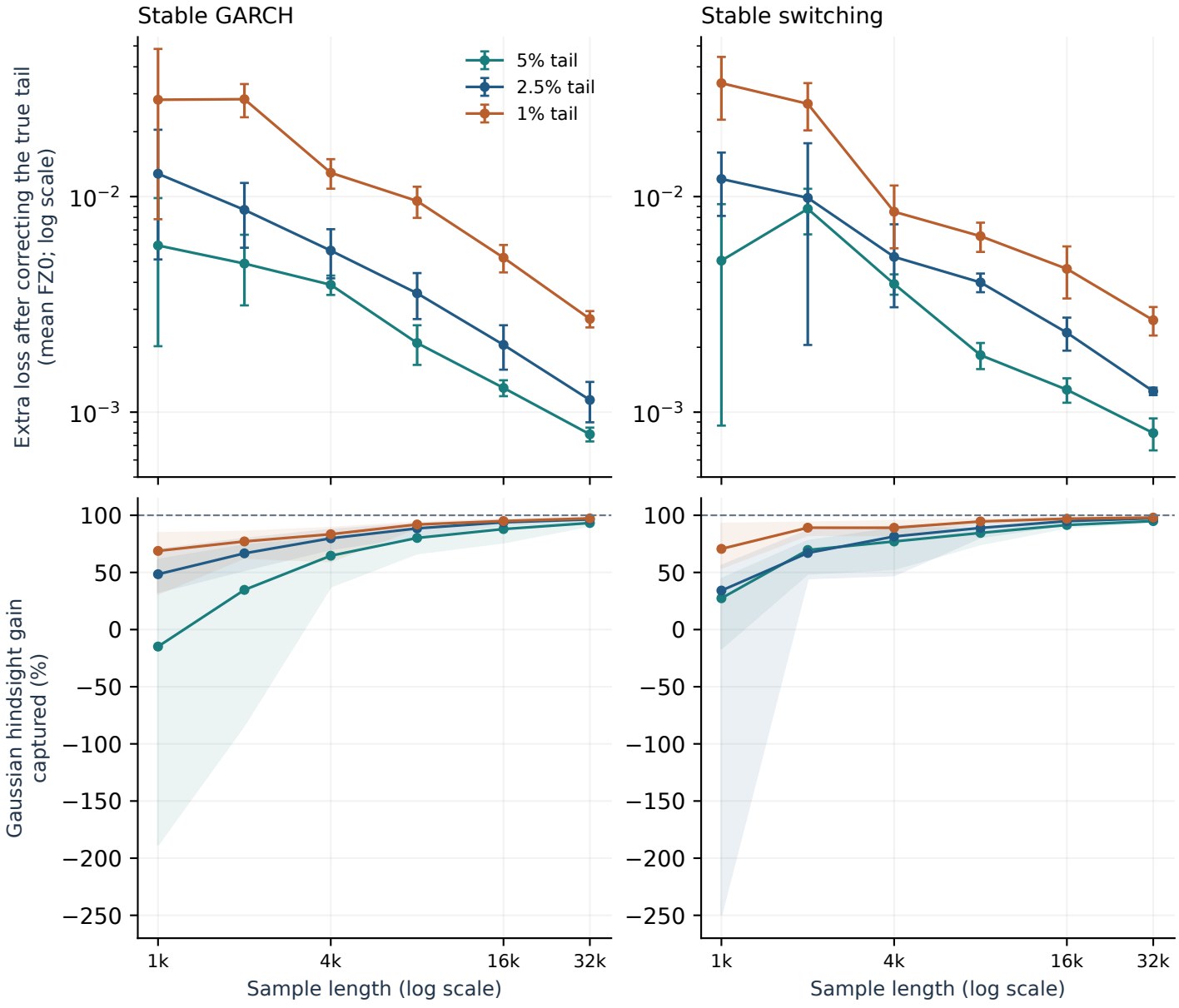
Stable GARCH
Stable switching
5% tail
2.5% tail
1% tail
Extra loss after correcting the true tail
(mean FZ0; log scale)
10^{-2}
10^{-3}
Gaussian hindsight gain
captured (%)
100
50
0
−50
−100
−150
−200
−250
1k
4k
16k
32k
Sample length (log scale)